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The market bet on change. It got continuity.

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Lula’s comeback repriced Brazil in one session: the dollar jumped 9.2% against the real and interest rates went from pricing cuts to pricing hikes. I stayed flat through the vote and wait for the Copom on 4 November before taking a rates view.

Markets had priced a change of government. On 25 October, Lula won a fourth term with 51.79% of valid votes after trailing Flávio Bolsonaro 47.1% to 45.0% in the first round: the first time since 1989 that the first-round runner-up has won the presidency. One session repriced every Brazilian asset.

What moved, and what did not

Market	Fri 23 Oct	Mon 26 Oct	Change
USD/BRL · PTAX	5.0374	5.5003	+9.2%
January 2028 DI rate	12.86%	14.80%	+194 bp
Ibovespa	205,083	176,608	−13.9%
U.S. 2-year yield	4.69%	4.68%	−1 bp

PTAX and Treasury yields are official. DI and Ibovespa are press-reported B3 figures; Monday’s DI is a late-afternoon quote. The Ibovespa triggered a circuit breaker.

What I would do

Stay flat in FX: the 6 October long-real idea closed on the first eligible day, when PTAX printed 5.5003, above its 5.30 drop level. In rates, my call is that the cutting cycle is over, and I take no position before the Copom on 4 November. If it pauses rather than hikes and the 2027 fiscal target holds, the January 2028 DI at 14.80% prices too many hikes: receiving it is the trade I am preparing.

What would change my mind

A Copom hike, or a looser 2027 fiscal target, would show that the hikes or the premium are real: no receiver. A Copom cut would put the central bank’s credibility at risk. I would revisit the real only with fresh, dated levels, not because it is cheaper.

FX: a year of carry in one session

PTAX rose from 5.0374 to 5.5003 (+9.2%). Since 2002, only 8 October 2008, in the global financial crisis, saw a larger one-day rise. The move erased the whole first-round rally and left USD/BRL 5.3% above its pre-first-round level (5.2235). Good news had been worth 4.6%; bad news cost about twice as much. Measure the day with care: PTAX averages four morning windows, when the dollar briefly topped R$5.60. The spot dollar closed at 5.4029 (+8.2%), and PTAX eased to about 5.33 on 27 October (press-reported). The authorities treated it as a liquidity shock: the Treasury cancelled the week’s fixed-rate and inflation-linked auctions and bought bonds back; the central bank said it would intervene in FX only if the market became dysfunctional.

Rates: from pricing cuts to pricing hikes

On Friday, the January 2028 DI contract (12.86%) sat only 0.3 pp above the economists’ Selic path (Focus survey, 23 Oct): 50 bp of cuts to 13.25% by December, then 11.75% by end-2027, an average of about 12.5%. On Monday it traded near 14.80%, 2.3 pp above that path and above today’s 13.75% Selic; the January 2029 and 2031 contracts settled at 15.22% and 15.28%. The short end says the same: the January 2027 contract settled at 13.70%, slightly above the 13.65% overnight rate, so no further cut is priced this year (the economists’ path implies 13.4%). The gap is either hikes that economists do not yet expect or a risk premium. The Copom is the first test of which.

Why: a fiscal premium, not an inflation print

No economic data changed over the weekend; the expected policy mix did. The market had bet that a new government would tighten fiscal policy. The government's 2027 budget bill projects a primary surplus of R$18.6 bn; the Senate's Independent Fiscal Institution projects a deficit of R$86.1 bn. A fourth Lula term makes that gap the central question. Inflation leaves the central bank little room to look through a weaker real: economists already expect 5.2% for 2026, above the 4.5% ceiling, and 4.3% for 2027, against a 3% target. That is why I think the cutting cycle is over. The premium can compress only on evidence, such as a credible 2027 target, the budget vote and the economic team's signals, not on carry.

Exporters: a windfall for the unhedged

At unchanged dollar prices, a 9.2% rise in USD/BRL raises reais receipts by the same 9.2%: the mirror image of the first round, when the stronger real cut them. A producer who hedged dollar receipts after the first round, near 4.99, gave up this windfall; that is the hedge working as insurance, not a loss. Brent spot data stop on 20 October, so there is no post-vote oil read yet.

What I do next

If, after the Copom on 4 November…	It means	What I would do
It pauses with hawkish guidance and the 2027 fiscal target is reaffirmed	The curve priced too many hikes: part of Monday was premium	Prepare to receive the January 2028 DI, with dated entry and stop levels
It hikes, or the fiscal target is loosened	The hikes or the premium are real	Stay out of receivers; the real stays under pressure
It cuts	The central bank's credibility becomes the risk	Stay out; expect a weaker real and a steeper curve

Dates: Fed 28 October; Copom 4 November; Fed and Copom 9 December. The weekly Focus survey will show how far economists move toward the curve.

Risk check: why VaR was not the answer

On Friday, my three one-day 99% VaR models (the risk study below) said a long-real position would lose more than 1.6%–2.6% on only one day in a hundred. Monday's loss was 8.4%: 3 to 5 times larger. VaR describes ordinary days; an election result is a jump. That is why the decision before the vote was about exposure, holding none, rather than about stop levels, which a price gap opens straight through.

Scorecard: my earlier calls

What I said	What happened	Verdict
6 Oct: no entry before the runoff, because one session can jump past every level.	USD/BRL jumped 9.2% on the first eligible day, straight through the 5.30 drop level. The idea closed without an entry.	Confirmed
16 Oct: carry cannot absorb an election jump; the first round had cost 6 months of carry.	The runoff cost 12 months of carry in one session.	Confirmed
16 Oct: inflation pricing is more sceptical than FX (breakevens 5.27% → 5.54% while the real kept 72% of its rally).	The bond market was the better warning. I flagged the divergence but did not size the asymmetry behind it.	Partly
16 Oct: three post-runoff scenarios, including an external U.S.-rate shock.	No scenario was a domestic shock with falling U.S. yields, which is what happened.	Missed

Lesson. Price and polls disagreed: the real was priced for one winner while the polls showed a coin flip. That asymmetry, not a forecast of the result, was the reason to stay flat. From now on, every scenario table includes the outcome the market is not pricing.

Dated inputs

TSE (25 Oct) · BCB (26 Oct) · U.S. Treasury (26 Oct) · BCB (23 Oct) · BCB (17 Sep) · Senate IFI (17 Sep) · CNN Brasil (26 Oct) · ISTOÉ Dinheiro (27 Oct) · Times Brasil (23 Oct) · InfoMoney (26 Oct) · Seu Dinheiro (26 Oct) · InfoMoney (27 Oct) · InfoMoney (26 Oct) · Jornal de Brasília (27 Oct) · Jornal de Brasília (27 Oct) · Forbes Brasil (23 Oct) · BCB (27 Oct)

Frozen at publication. PTAX, Treasury yields, Focus and the Selic come from official feeds, and the vote count from the TSE. DI futures, the Ibovespa, the spot close, the 27 October PTAX and policy announcements are press-reported. No position was opened; nothing here is an executed return.